

# SOP-AFT-014 · Warranty Resolution

Aftermarket Operations · Version 3.0 · Approved 12 February 2026 · Next review February 2027

Owner: Director, Aftermarket Operations | Applies to: all sortation and conveyance installations, North America and Europe | Supersedes: SOP-AFT-014 v2.4

## 1. Purpose and scope

This procedure governs how Cobalt Ridge receives, evaluates, and resolves warranty claims on installed equipment. It covers the period from first notification of a failure through financial settlement and product-quality feedback. It does not cover new-equipment commissioning defects, which follow SOP-PRJ-006, or recall campaigns, which follow SOP-QUA-002.

## 2. Definitions

| Term              | Meaning                                                                                                               |
|-------------------|-----------------------------------------------------------------------------------------------------------------------|
| Line Down         | The customer cannot run the affected line or system at any throughput. Highest impact tier.                           |
| Degraded          | The system runs below rated throughput or with a manual workaround in place.                                          |
| Containment       | A temporary measure that restores partial output or prevents further damage while the permanent repair is determined. |
| Coverage position | The current determination: covered, not covered, partially covered, or undetermined.                                  |
| Combined cause    | A finding that both a covered defect and an excluded condition contributed materially to the failure.                 |

## 3. Impact classification and response targets

| Tier               | Definition                         | Acknowledge     | Coverage position | Technician on site            |
|--------------------|------------------------------------|-----------------|-------------------|-------------------------------|
| 1 · Line Down      | No throughput on affected line     | 30 minutes      | 4 hours           | Same day where travel permits |
| 2 · Degraded       | Reduced rate or manual workaround  | 2 hours         | 1 business day    | 2 business days               |
| 3 · Impaired       | Redundancy lost, output unaffected | 1 business day  | 3 business days   | Scheduled                     |
| 4 · Administrative | Documentation or credit only       | 2 business days | 5 business days   | Not applicable                |

Impact is set from customer throughput consequence, not from claim value. A low-value part that stops a line is Tier 1.

## 4. Procedure

### 4.1 Intake and impact triage

Confirm the serialized asset and its site. Verify warranty status against the installed-base record. Capture the customer's account of the failure verbatim before any interpretation is added. Set the impact tier with the customer present on the call where possible. Open a single case; do not open parallel cases for the same event.

#### 4.2 Coverage and evidence review

Assemble alarm and event history, service and maintenance history, the released configuration baseline, records of any third-party work, and the applicable warranty terms. Name any evidence gap explicitly in the case rather than proceeding on assumption.

Where the evidence supports more than one cause, record a combined cause. Do not resolve ambiguity by defaulting to denial. A claim may only be denied where the excluded condition is demonstrably a material contributing cause and the reasoning is recorded.

#### 4.3 Diagnose and contain

Propose containment where the customer is at Tier 1 or Tier 2 and a permanent repair cannot be completed within the response target. Containment must be reviewed for safety by a Reliability and Controls Engineer before it is offered to the customer. Site personnel own shutdown, isolation, and restart. Cobalt Ridge does not operate customer equipment under any circumstance.

#### 4.4 Resolution decision

Prepare at least two options with cost, downtime, and residual risk stated for each. Check each option against the warranty terms and against the approver's delegated authority before presenting. Where the recommended option departs from the standard repair specification, obtain engineering sign-off before authorizing.

#### 4.5 Restore and validate

Do not dispatch until parts are confirmed reserved and the site has confirmed a safe-to-service state. Restoration is complete when the customer accepts the agreed functional test result, not when the technician closes the work order.

#### 4.6 Close and learn

Before closure, run the recurrence check against the same component family across the installed base for the preceding one hundred eighty (180) days. Where three or more related failures are found, closure is blocked until a product-quality investigation is opened with a named owner. Finalize the decision ledger.

### 5. Approval authority

| Role                              | Covered repair  | Goodwill or commercial exception |
|-----------------------------------|-----------------|----------------------------------|
| Warranty Analyst                  | Up to \$15,000  | Not delegated                    |
| Warranty Resolution Lead          | Up to \$75,000  | Up to \$25,000                   |
| Manager, Aftermarket Operations   | Up to \$250,000 | Up to \$100,000                  |
| Director with Finance concurrence | Above \$250,000 | Above \$100,000                  |

### 6. Known weaknesses in the current process

Recorded at the v3.0 review. These are the items the process owner has flagged for improvement and has not yet resolved.

1. Evidence requests are issued late. In most reviewed cases the customer is asked for maintenance records and third-party work orders only after the coverage review has already stalled, which adds one to three days.
2. Parts availability is confirmed after the resolution plan has been committed to the customer, so a back-ordered part forces the plan and the customer commitment to be rebuilt.
3. The recurrence check runs at closure. Patterns are therefore detected on the third or fourth related case rather than the second.
4. Coverage decisions on combined-cause fact patterns vary between analysts. There is no worked example set.

## **7. Records**

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The case is the record. Email threads, spreadsheets, and call notes held outside the case are not the record and are not admissible in a coverage dispute.

Illustrative document created for the FUSION 2026 demonstration. Cobalt Ridge Automation is fictional.